



GED 211

Financial Environments

Investment & Finance

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Contents: **Focus of Discussion**

Forms of Business Organizations

Major Types of Taxes

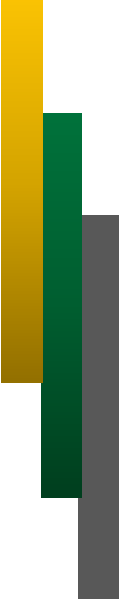
The Financial System

Financial Markets:

- Money vs Capital
- Primary vs Secondary

Financial Institutions

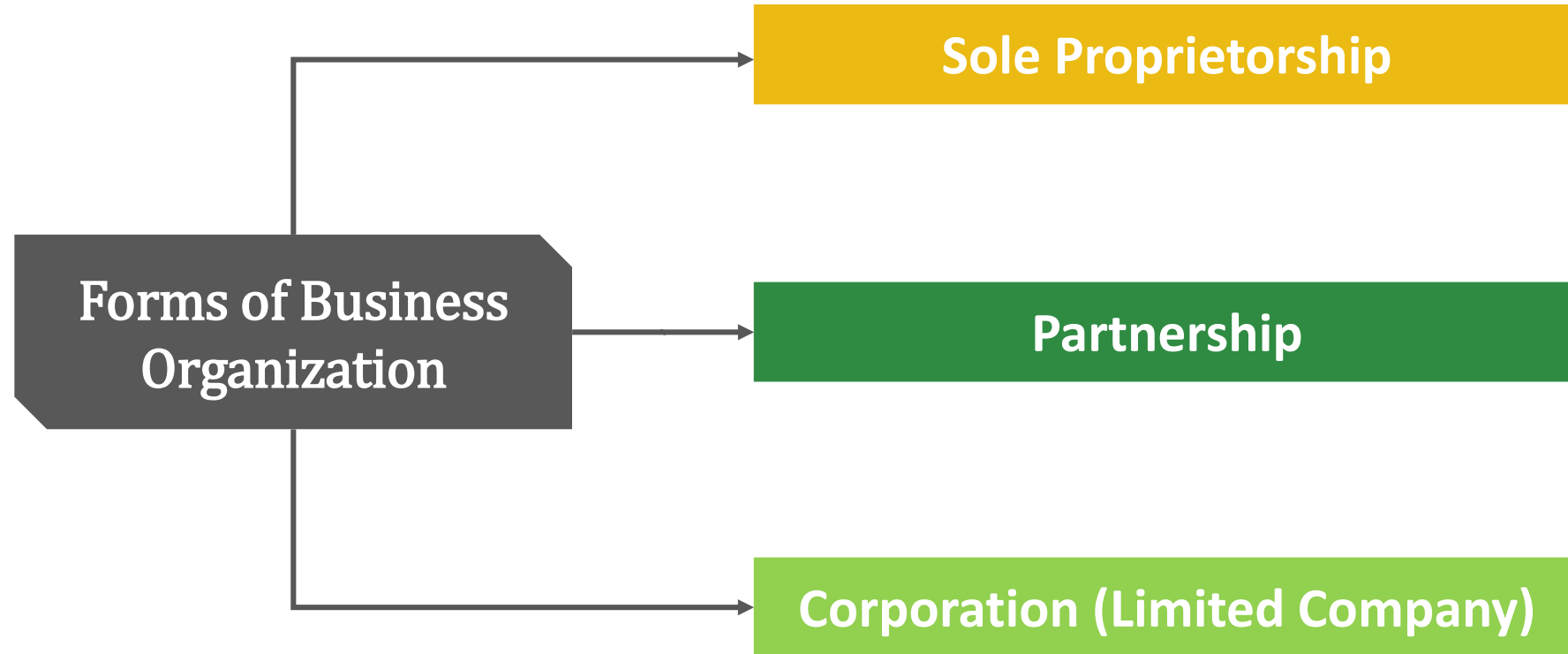
- Depository & Non-Depository



Forms of Business Organizations:

Sole Proprietorship, Partnership,
Corporation

Forms of Business Organizations: Overview



Forms of Business Organizations: Sole Proprietorship

Sole Proprietorship

A business owned and managed by one person.

- A local Grocery Store

Advantages

- Simple to form and dissolve
 - Only needs trade license
- **Full control and flexibility**
- Owner keeps all profits

Disadvantages

- **Unlimited liability —**
 - **Owner is personally responsible for all debts**
- Limited access to capital
- **Business continuity depends on owner's life**

Forms of Business Organizations: Partnership

Partnership

A business owned by two or more people who share profits, losses, and responsibilities

- **Governed by a partnership agreement**
- Partners contribute money, skills, or both
- Can be general or limited partner
 - **General partners** manage and have unlimited liability
 - **Limited partners** invest but have liability limited to their investment
 - Must have at least one “General Partner”

Advantages

- More capital than sole proprietorship
- Shared decision-making and workload
- Simple to establish legally

Disadvantages

- **Unlimited liability (for general partners)**
- Potential conflicts among partners
- **Dissolves if any partner leaves or dies**



Forms of Business Organizations: Corporation (Limited Company)

Corporation (Limited Company)

A separate legal entity created by law,

- Owned by shareholders and managed by a board of directors
- Can own property, enter contracts, and be sued in its own name

Advantages

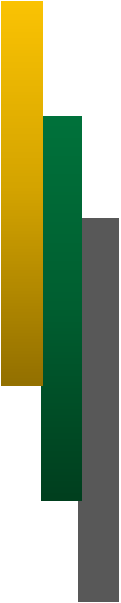
- Shareholders have **limited liability** — If the business can not pay its loans, shareholders are not held liable
- Can raise large amounts of capital
- Perpetual existence — not affected by ownership change

Disadvantages

- **More regulations and formalities**
- **Double taxation** (corporate tax + shareholder tax on dividends)
- Complex and costly to establish

Forms of Business Organizations: Comparison

Feature	Sole Proprietorship	Partnership	Corporation
Ownership	One person	Two or more	Shareholders
Liability	Unlimited	Unlimited (for general partners)	Limited
Capital	Limited	Moderate	High potential
Continuity	Ends with owner	Ends with partner exit/death	Perpetual
Decision-making	Full control	Shared	Board of Directors
Taxation	Personal income tax	Personal income tax	Corporate + dividend tax



Major Types of Taxes:

Tax & VAT

Major Types of Taxes: Overview

Major Types of Taxes

- Income Tax
- Corporate Tax
- Capital Gain Tax
- Sales Tax
- Value Added Tax (VAT)
- Import Duties (Customs Duty)

Major Types of Taxes: Overview

Income Tax

Tax charged on an individual's personal income — salary, bonuses, interest, rent, etc.

- Paid by individuals or households
- Usually progressive → Higher income = Higher tax rate



Major Types of Taxes: Overview

Income Tax

During the financial year 2024-25, Mr. Rafi and Ms. Saima had earned a total of BDT 500,000 and BDT 2,300,000 respectively out of which Mr. Rafi's taxable income was BDT 360,000 and MS. Saima's taxable income was BDT 1,600,000. Given the following tax brackets, calculate the minimum income tax each of them has to pay:

Tax Rate	Male	Female
Tax Free Income	First 300,000	First 350,000
5% Tax on	Next 250,000	Next 250,000
10% Tax on	Next 300,000	Next 300,000
15% Tax on	Next 500,000	Next 500,000
20% Tax on	Next 500,000	Next 500,000
25% Tax on	Next 1,000,000	Next 1,000,000
30% Tax on	All Remaining	All Remaining
Minimum Tax Payment of BDT 5,000 for all who fall under any tax bracket beyond the tax free income range		

Major Types of Taxes: Overview

Mr. Rafi's Income Tax

Tax Rate	Male Tax Bracket	Calculations	Tax Incurred
Tax Free Income	First 300,000	$(300,000 * 0\%)$	BDT 0
5% Tax on	Next 250,000	$(60,000 * 5\%)$	BDT 3,000
Calculated Income Tax		$(0 + 3,000)$	BDT 3,000
Minimum Tax			BDT 5,000
Income Tax Payment	Higher of BDT 3,000 and BDT 5,000		BDT 5,000



Major Types of Taxes: Overview

MS. Saima's Income Tax

Tax Rate	Female Tax Bracket	Calculations	Tax Incurred
Tax Free Income	First 350,000	$(350,000 * 0\%)$	BDT 0
5% Tax on	Next 250,000	$(250,000 * 5\%)$	BDT 12,500
10% Tax on	Next 300,000	$(300,000 * 10\%)$	BDT 30,000
15% Tax on	Next 500,000	$(500,000 * 15\%)$	BDT 75,000
20% Tax on	Next 500,000	$(200,000 * 20\%)$	BDT 40,000
Calculated Income Tax			BDT 157,500
Minimum Tax			BDT 5,000
Income Tax Payment	Higher of BDT 157,500 and BDT 5,000		BDT 157,500



Major Types of Taxes: Overview

Income Tax: Practice Math

During the financial year 2024-25, Mr. Risad and Ms. Nodi had earned a total of BDT 400,000 and BDT 1,300,000 respectively out of which Mr. Risad's taxable income was BDT 270,000 and MS. Nodi's taxable income was BDT 1,100,000. Given the following tax brackets, calculate the minimum income tax each of them has to pay:

Tax Rate	Male	Female
Tax Free Income	First 300,000	First 350,000
5% Tax on	Next 250,000	Next 250,000
10% Tax on	Next 300,000	Next 300,000
15% Tax on	Next 500,000	Next 500,000
20% Tax on	Next 500,000	Next 500,000
25% Tax on	Next 1,000,000	Next 1,000,000
30% Tax on	All Remaining	All Remaining
Minimum Tax Payment of BDT 5,000 for all who fall under any tax bracket beyond the tax free income range		

Major Types of Taxes: Overview

Corporate Tax

Tax on the profits earned by companies or corporations

- Applied to net profit
- Different rates for different sectors (e.g., banks, telecoms, manufacturing)
- Affects corporate investment decisions and dividend payouts

Sales Tax

Tax on the sale of goods and services

- Usually a percentage of the selling price
- May not be applicable to all industries

For most industries where sales tax is applicable, the tax payment requirement for the company calculated as the higher of Corporate Tax and Sales Tax

Major Types of Taxes: Overview

Say, Beximco earned a revenue of 150MN, with operating expenses of 80MN and Non-operating Expenses of 20MN. If corporate tax rate is 20%, and sales tax is 0.60%, what would be the amount of tax beximco has to pay

First, Calculate the amount of Corporate Tax:

Profit Before Tax = (Revenue – Operating Expenses – Non operating Expense)

Profit Before Tax = (150 – 80 – 20) = **50MN**

Corporate Tax = (Profit Before Tax * Tax Rate) = (50 * 20%) = **10MN**

Major Types of Taxes: Overview

Second, Calculate the amount of Sales Tax:

Sales Tax = (Revenue * Sales Tax Rate)

Sales Tax = (150 * 0.60%) = **0.90MN**

Finally, Calculate the Tax Payment Requirement:

Tax Payment Requirement = Higher of Corporate Tax and Sales Tax

Tax Payment Requirement = Higher of 10MN and 0.90MN = **10MN**



Major Types of Taxes: Overview

Practice Math: Square Pharma earned a revenue of 250MN, with operating expenses of 100MN and Non-operating Expenses of 50MN. If corporate tax rate is 25%, and sales tax is 0.60%, what would be the amount of tax Square Pharma has to pay

Major Types of Taxes: Overview

Value Added Tax

Tax on the value added at each stage of production and distribution

- Applied at every stage — manufacturer, wholesaler, retailer —but only on the value added, not total price

Say, Beximco earned a revenue of 150MN. If the VAT is 15%, what would be the total VAT

$$\text{VAT} = (\text{Revenue} * \text{VAT Rate})$$

$$\text{VAT} = (150 * 15\%) = \mathbf{22.50MN}$$

Major Types of Taxes: Overview

Import Duties (Customs Duty)

Tax imposed on goods imported from other countries

- Usually a percentage of the import value
- Protects domestic industries from foreign competition
- Discourages import
- Affects international trade and local market prices

Say, Beximco has imported two types of raw materials. They imported Type A raw material worth 50MN which has a Import Duty of 5% and Type B raw materials worth 30MN which has a import duty of 20%

$$\text{Import Duty} = (50 * 5\%) + (30 * 20\%) = (2.50 + 6) = \mathbf{8.50MN}$$

Major Types of Taxes: Overview

Capital Gains Tax

Tax on the profit earned from selling assets (like shares, land, or property)

- $\text{Capital Gain} = (\text{Selling Price} - \text{Purchase Price})$
- $\text{Capital Gain Tax} = [(\text{Selling Price} - \text{Purchase Price}) * \text{CG Tax Rate}]$

You purchased shares of Beximco for 90 taka and sold them for 130 taka. If Capital Gain Tax Rate is 10%, what is your Total Capital Gain Tax

Capital Gain Tax = $[(\text{Selling Price} - \text{Purchase Price}) * \text{CG Tax Rate}]$

Capital Gain Tax = $[(130 - 90) * 10\%] = (40 * 10\%) = \mathbf{4TK}$



Major Types of Taxes: Overview

Practice Math: Your father purchased land for BDT 5MN in 1997 and sold it for BDT 30MN in 2026. If Capital Gain Tax Rate is 15%, what is your father's Total Capital Gain Tax

Practice Math: Square Pharma earned a revenue of 250MN. If the VAT is 15%, what would be the total VAT

Practice Math: Square Pharma has imported two types of raw materials. They imported Type A raw material worth 50MN which has a Import Duty of 5% and Type B raw materials worth 30MN which has a import duty of 20%

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